

for. In that sense, the first outing of Real Estate Private Equity funds in India has been nothing short of a disaster.

Rental Yield Funds

These funds emerged in 2008 with the objective of investing in commercial property and earning the high yields that were offered. These funds were typically of lower tenure than the private equity funds since they were investing in ready properties. In that sense, they also did not carry the development risk. These funds hoped to also earn capital appreciation apart from the annual rental yield which was supposed to make the overall internal rate of return (IRR) very attractive.

Again, like private equity funds, these funds also failed to deliver. To be fair, rental yield funds have had fewer disasters than private equity funds. While the thesis for rental yields played out, the lack of exit opportunities meant that these funds dragged on far longer than their intended tenures and sometimes had to sell their assets at a discount to the price to be able to give money back to investors.

Non-convertible Debentures / Real Estate Debt Funds

Around 2009, when interest rates were very low in India (liquid funds were giving 6 per cent per annum returns), Real Estate Non-convertible Debentures (NCDs) emerged, offering very high returns. NCDs are similar to bonds issued by borrowers which promise to pay a certain coupon along with the principal back within a predetermined tenure. They were issued by real estate developers, typically at a project SPV level. The high interest rates offered—anywhere between 18 and 25 per cent—was because these projects could not get funding from banks and often, while the collateral was the project, the end-use was buying land elsewhere. Unlike private equity and rental yield funds, there was no capital appreciation expectation and thus, technically, the investor was assured of his compounded annualized return. This made NCDs extremely popular among investors and led to massive issuances from developers (see the exhibits below). This was soon followed